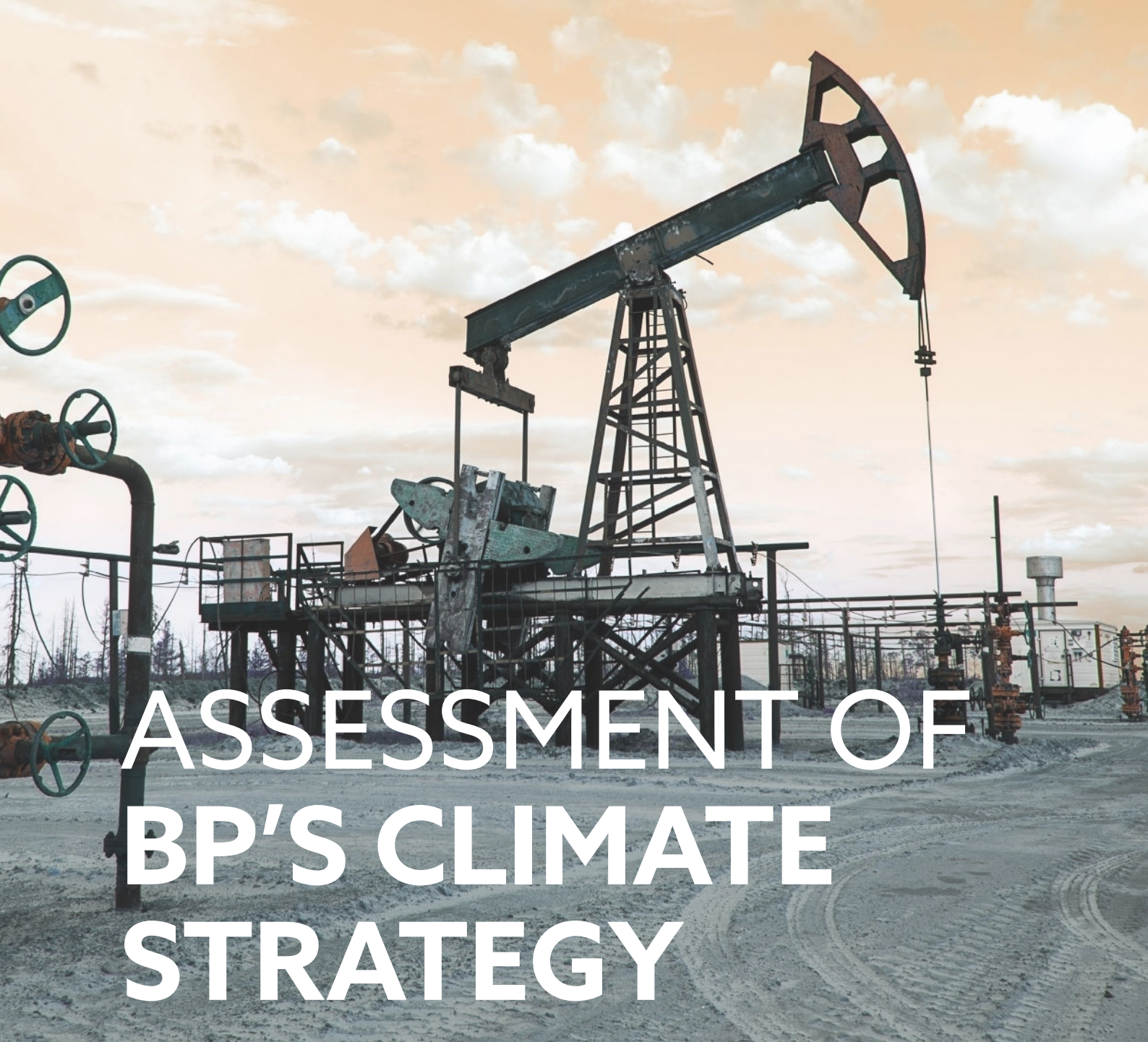




# ASSESSMENT OF BP'S CLIMATE STRATEGY

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# INTRODUCTION



While a growing number of institutions are disengaging from the oil and gas sector, deeming it incapable of transformation, others believe that oil and gas companies are essential to the energy transition, and that their support is indispensable to the massive development of renewable energy. However, BP announced a major shift in its strategy, backtracking on climate commitments, prioritizing fossil fuel and stepping back on renewable energy.

To assess BP's climate strategy and provide our analysis, Reclaim Finance relied on the International Energy Agency's (IEA) Net Zero Emissions by 2050 Scenario (NZE).<sup>1</sup> The NZE is based on a 1.5°C trajectory and includes:

- A drop in oil and gas production of 21,4% and 13,1% respectively by 2030, compared with 2023 levels.
- A halt to the development of new oil and gas production projects and liquefied natural gas (LNG) terminals.
- A 67% increase in total annual investment in energy, with a 2.3-fold increase in annual investment in energy transition, covering clean energy supply, end-use and energy efficiency. This would mean investing ten dollars in the transition by 2030, six in energy supply – mainly electricity – for every dollar invested in fossil fuels, i.e. a 6:1 ratio.

BP ranks as the 12th biggest oil and gas producer and the 15th biggest oil and gas exploration and production developer worldwide.<sup>2</sup>

As one of the top European integrated oil and gas companies and one of the largest greenhouse gas (GHG) emitters globally, BP is among the few companies in the world whose climate transition (or lack thereof) in the coming years will have a determining impact on our collective ability to limit global temperature rise to 1.5°C. In 2020, the company pledged to achieve carbon neutrality across its entire operations on an absolute basis by 2050 or sooner.<sup>3</sup> In 2025, BP reset its strategy, keeping their net zero commitment on sales and on its scope 1 and 2 operations, but retiring its scope 3 net zero production target, and backtracking on many commitments.<sup>4</sup>



# KEY FINDINGS

## **1. BP'S INVESTMENT STRATEGY PRIORITIZES OIL, GAS AND SHAREHOLDER PAYOUTS OVER CLIMATE SOLUTIONS**

- BP invested in oil and gas rather than in renewable energy:<sup>5</sup> For every dollar invested in 2024 in its technologies considered as "low carbon" by the company, BP invested US\$8.9 in oil and gas.
- BP remunerates shareholders rather than investing in renewable energy: For every dollar invested in 2024 in its low carbon energy business, BP distributed US\$7.8 to its shareholders through dividends and share buybacks.
- BP strongly revised its investment plan to focus on oil and gas. BP dropped its low carbon investment in its strategy, from four billion dollars per year to 2030 to 800 million dollars per year to 2027.

## **2. THE NEW ENERGY STRATEGY OF BP WILL RELY EVEN MORE ON THE DEVELOPMENT OF NEW FOSSIL FUEL PROJECTS**

- In 2025, BP reset its strategy and revised its targets for oil and gas production. Its 2030 oil and gas production target has been raised from 2.0 million barrels of oil equivalent (mmboe) per day in 2030 to a range from 2.3 to 2.5 mmboe per day. Therefore, after reducing its 2030 scope 3 decarbonization target in 2023, BP totally retired this target in its new strategy. In 2024, scope 3 emissions represented 91% of the company's emissions.
- On the basis of BP's oil and gas production from its currently producing fields and its already committed short-term expansion plans, the company's production in 2030 will be 27% higher than the level required to align with the NZE.
- Yet, BP will have to develop additional discoveries or acquire fields beyond those already under expansion to meet its 2030 oil and gas production target. Its existing operating fields and short-term expansion plans will not be sufficient to reach its 2.3 to 2.5 mmboe per day production target in 2030. With the company's current targets, its 2030 production will be 57% higher than the NZE.
- In terms of short-term expansion, BP ranks as the 15th biggest oil and gas upstream developer worldwide.
- BP is also an LNG terminal developer with a new export and import terminal projects planned by 2030.

## **3. BP'S DIVERSIFICATION STRATEGY BECOMES MARGINAL AND PARTLY RELIES ON GAS AND UNSUSTAINABLE ENERGIES**

- Because of BP's new strategy, that reduces future investment in low-carbon technologies, the major significantly slows the development of non-fossil energy, with renewable energy being particularly neglected.
- BP reset its strategy that targeted 10 gigawatts (GW) of installed renewable power capacities in 2030, and 50 GW developed to Final Investment Decision (FID). The major only kept its 2025 target of 20 GW developed to FID and did not set any new target for 2030.
- BP intends to divest or farm down some assets by 2027, bringing equity partner into their renewable branch Lightsource bp<sup>6</sup> and launching a strategic review of the lubricant producer Castrol.<sup>7</sup>

# 01

## ***CURRENT ENERGY PRODUCTION***





BP accounts for 1.8% of global oil and gas production.<sup>8</sup> In 2024, BP extracted 2.4 mmboe of oil and gas every day, 1.9% more than the previous year.<sup>9</sup> Beyond exploration and production, BP is also active in other energy segments such as oil and gas transportation, oil refining, solar and wind generation, and gas power generation and retail. In 2024, BP produced 66 times more energy from oil and gas than from renewables.

The company's power production is composed of gas power, and renewable energy – wind, solar and battery storage. BP also has hydrogen capacity but does not report its origin, which can be from renewable energy or from fossil fuels, with or without carbon capture, use and storage (CCUS).

BP is also active in bioenergy, producing biofuels and biogas. However, no precise data on the current capacities and production volumes is available in the company's reports.



“

*I AM ALSO CALLING ON CEOs OF ALL OIL AND GAS COMPANIES TO BE PART OF THE SOLUTION. THEY SHOULD PRESENT CREDIBLE, COMPREHENSIVE AND DETAILED TRANSITION PLANS IN LINE WITH THE RECOMMENDATIONS OF MY HIGH-LEVEL EXPERT GROUP ON NETZERO PLEDGES.*

**Antonio Guterres,**  
Secretary-General of the United Nations, March 2023

# 02

## ***CASH-FLOW ALLOCATION***





PAST INVESTMENTS

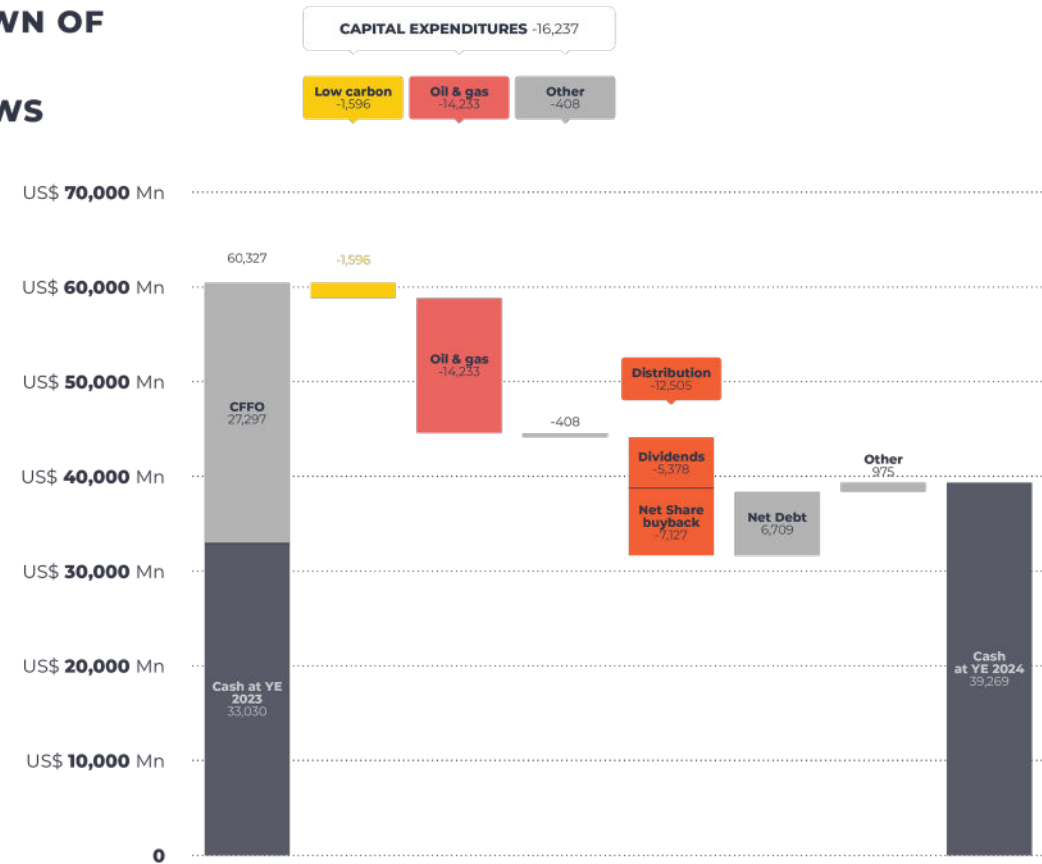
The future energy mix and GHG emissions of a company are determined by its current energy mix and its investment strategy.

From 2022 to 2024, BP invested US\$1,147 million per year in oil and gas exploration, making it the 13th largest investor in this area over those three years.<sup>10</sup> The invest-

ments reveal the importance of oil and gas expansion in the company’s long-term strategy, which includes the search for new fields that once discovered could come into production in decades.

Information in BP’s 2024 annual report<sup>11</sup> shows how the cash and cash flows generated from its operational activities were spent in 2024:

BREAKDOWN OF BP'S 2024 CASH-FLOWS

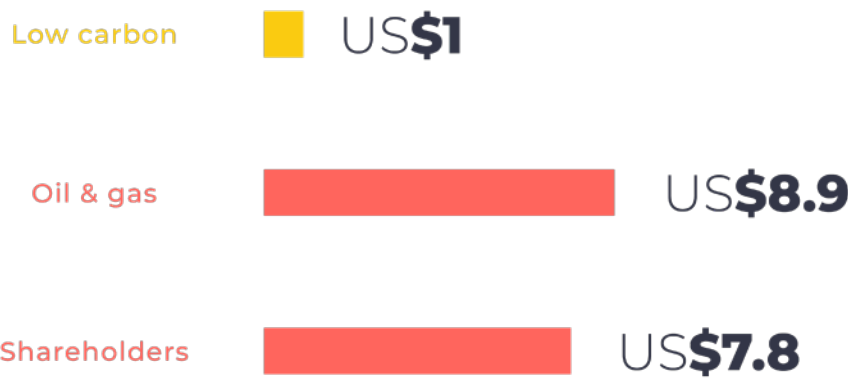


Source: BP, bp Annual Report and Form 20-F 2024, 2025

- BP invested US\$1.6 billion in its low-carbon energy business – including renewable energy, bioenergy, blue and green hydrogen, and CCUS.
- BP invested US\$14.2 billion in oil and gas, including US\$9.8 billion in upstream oil and gas and Liquefied Natural Gas (LNG), and US\$4.4 billion in other oil and gas activities, including refining and petrochemical activities.
- BP provided its shareholders with US\$12.5 billion through dividend payments (US\$5.4 billion) and share buybacks (US\$7.1 billion). In total, for every dollar invested in low-carbon energy, 7.8 dollars were distributed to shareholders.

In total, for every dollar invested in low-carbon energy, more than 8.9 dollars were invested in oil and gas.

BP'S 2024 LOW CARBON CASH-FLOW RATIOS



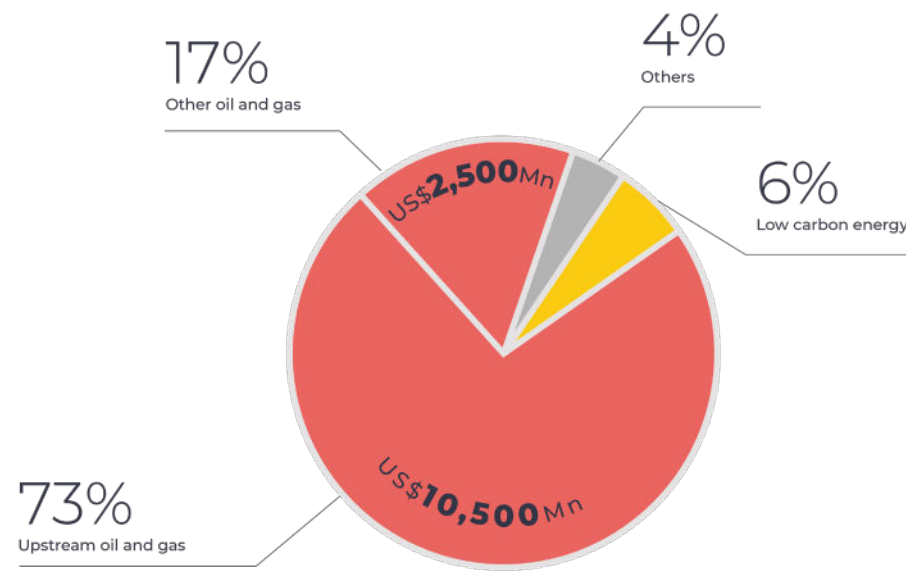
Source: BP, bp Annual Report and Form 20-F 2024, 2025

**FUTURE INVESTMENTS**

BP’s investment plan is fossil-fuel driven. The major came back on its previous investment plan in order to increase its capital expenditure in oil and gas, sharply dropping the ones in low carbon energies, that include renewable energy, bioenergy, electric vehicles, and other future mobility solutions; trading and marketing low carbon products, blue and green hydrogen, and CCUS. **BP now aims to invest US\$10.5 billion per year in upstream oil and gas and LNG and US\$0.8 billion per year in low carbon energies from 2025 to 2027 (vs US\$9 billion and 4 billion previously planned).** Low carbon energies will represent 6% of BP investments by 2027.

Total annual energy investment needs to increase by 67% by 2030 according to the NZE, which includes a shift from fossil fuels to clean alternatives. Investments in clean energy supply, end-use and efficiency are multiplied by 2.3 times between 2022 and 2030 in the NZE, with 10 dollars spent in these areas for each dollar spent on fossil fuels, 6 dollars of which are for sustainable power supply.<sup>12</sup> In its 2023 report, the IEA established that oil and gas companies must allocate more than 50% of their capital expenditure (CAPEX) in clean energy by 2030.<sup>13</sup>

**BP'S CAPEX PLAN TO 2027**



Source: BP, BP Annual Results 2024, 2025



“

ACHIEVING THE GOAL OF TRIPLING INSTALLED RENEWABLES CAPACITY BY 2030, AS IN THIS [NZE] SCENARIO, REQUIRES DOUBLING CURRENT INVESTMENT LEVELS IN RENEWABLE POWER, GRIDS AND BATTERY STORAGE.

International energy agency,  
World Energy Outlook 2024

# 03

## ***FOSSIL FUEL STRATEGY***

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A. UPSTREAM EXPANSION PLANS

The IEA published the NZE in May 2021<sup>14</sup> to provide a pathway to meet global energy needs while maintaining a 50% chance of keeping global temperature increases below 1.5°C. It was used as the reference scenario in the IEA's World Energy Outlook (WEO) 2021 and was updated in 2022, 2023<sup>15</sup> and 2024.<sup>16</sup> The NZE projects a halt to the development of any new oil and gas fields for which a Final Investment Decision (FID) was not approved by January 1st, 2022.

The Intergovernmental Panel on Climate Change (IPCC) also highlights the risks associated with the development of any new fossil fuel projects. This concurs with a large and growing body of scientific evidence showing the need to immediately end fossil fuel development, and a growing consensus on this in net-zero policy discussions.

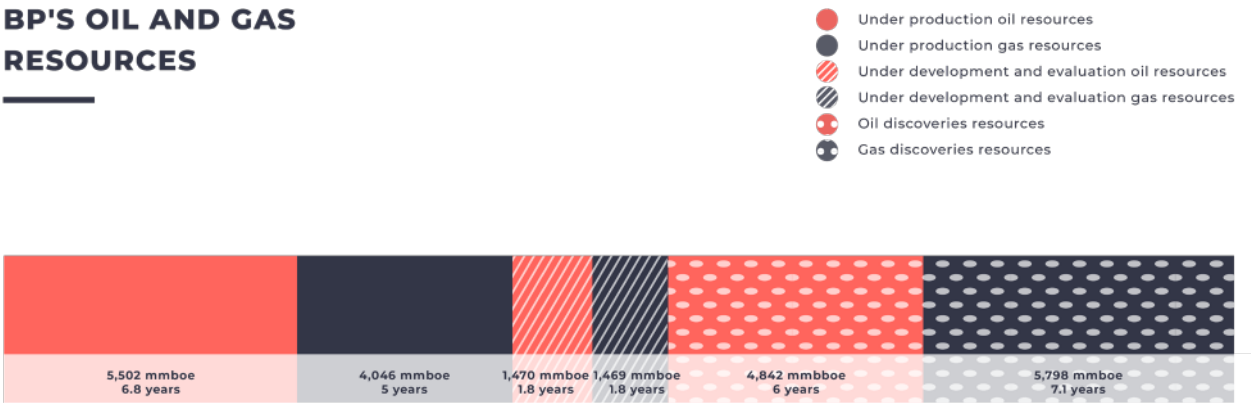
According to the 2024 Global Oil and Gas Exit List (GOGEL), **BP is the 15th top global oil and gas upstream developer. The company**

**accounts for 1.6% of global short-term expansion plans, with 73.6% of its expansion plans not obtaining a FID before 2022** – therefore overshooting the NZE.

These projects would give BP significant additional resources even though it already has enough to extract oil and gas for several years. As of February 2025:

- BP has 9,549 mmboe of resources under production, including 5,502 mmbbl of oil and 4,046 mmboe of gas. This represents the equivalent of 12.0 years of production at 2024 levels.
- BP has 2,939 mmboe of resources under development or field evaluation, including 1,470 mmbbl of oil and 1,469 mmboe of gas. This represents 3.7 years of production at 2024 levels.
- BP owns 10,640 mmboe of oil and fossil gas discoveries, including 4,842 mmbbl of oil and 5,798 mmboe of gas. This represents 13.4 years of production at 2024 levels.

BP'S OIL AND GAS RESOURCES



Source: Rystad Energy, accessed in February 2025

B. UPSTREAM PRODUCTION

Oil and gas production should decrease by 21.4% and 13.1%, respectively, between 2023 and 2030 according to the NZE.<sup>17</sup> In this scenario, the rate of oil and gas production declines due to a combination of the natural depletion of existing oil and gas fields and the absence of new fields to fill the gap, despite the reliance on negative emissions. Oil and gas production would need to decline much faster without this reliance. Negative emissions include

the deployment of technologies unproven at scale, such as CCUS. Other prominent 1.5°C scenarios with no or low overshoot also show oil and gas production declining by 2030. These include the One Earth Climate Model (OECM),<sup>18</sup> the net zero climate scenarios from the Network for Greening the Financial System (NGFS),<sup>19</sup> and the IPCC's 1.5°C with no or low overshoot scenarios filtered to limit to reasonable volumes the reliance on negative emissions (e.g. CCUS, nature-based solutions (NBS), etc.).<sup>20</sup>

The following chart compares BP's planned oil and gas production level by 2030 with:

- BP's production by 2030 if it aligns with the NZE (i.e. BP's production level from its producing fields and its fields currently under development with a FID obtained before 2022).
- BP's production by 2030 if it carries out its already committed short-term expansion plans (i.e. BP's production from its fields currently under production, under development and under field evaluation).

In 2030, with oil and gas from currently producing fields, fields under development and under evaluation, **BP's already committed production level will be 27% higher than the NZE.**

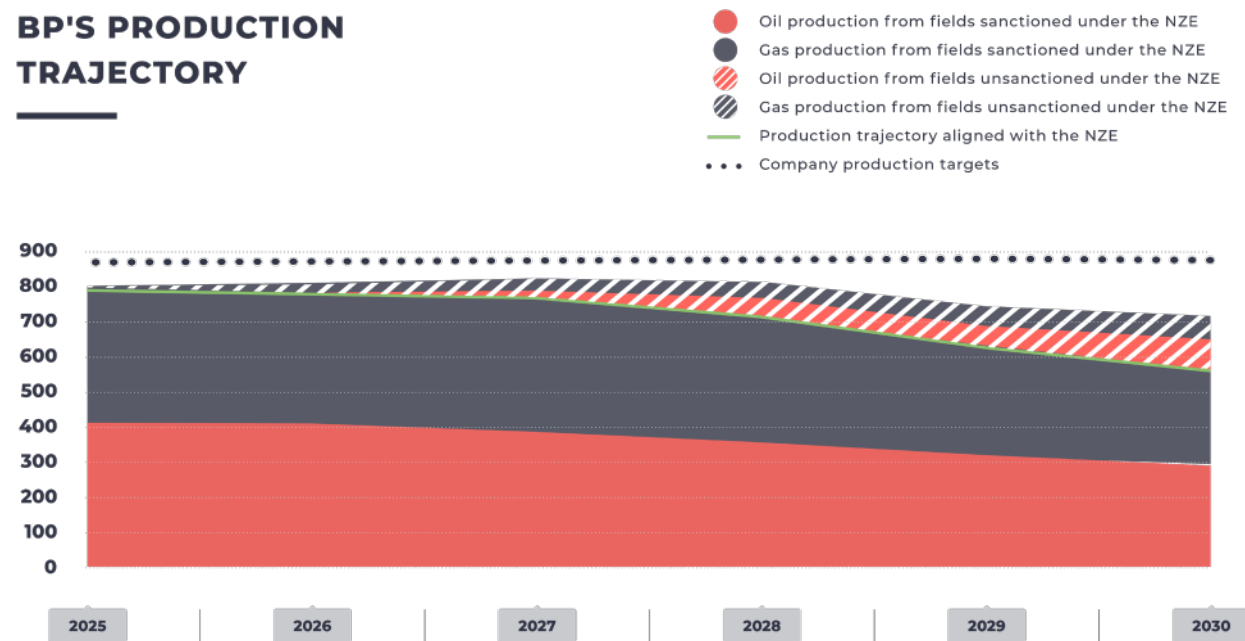
In 2022, BP announced a 40% oil and gas production reduction by 2030 compared to 2019 levels, excluding Rosneft, targeting 1.5 mmboe per day in 2030.<sup>21</sup> While still relying on expansion, BP's oil and gas production reduction target was then among the most ambitious in the sector. The major came back on its initial commitment in 2023,

planning only a 25% reduction of its 2030 oil and gas production, targeting 2.0 mmboe per day.<sup>22</sup> **Resetting its strategy in 2025, BP confirmed its backtrack on climate. The company now plans to increase its production to 2.3 to 2.5 mmboe per day,<sup>23</sup> 2% higher on average than its current production level.** With its already committed short-term expansion plans, BP still could not achieve its target. In other words, to reach its production target, BP will have to develop part of its discoveries and/or acquire new fields. As such, **BP's 2030 production target for oil and gas is 57% above NZE alignment.**

With its previous production target, BP's production was already exceeding the NZE. However, the overshoot was less significant as BP's production was then 26% higher than the NZE.

**With its production target, BP's 2030 oil and gas extraction will represent 1.6% of the global oil and gas production in 2030, according to production level of the NZE.**

**BP'S PRODUCTION TRAJECTORY**



Source: Rystad Energy on oil and gas production and expansion, accessed in February 2025;  
BP, *Capital markets update - Growing shareholder value*, page 16, 2025 on company production targets.





C. LNG TERMINAL NET CAPACITIES

Under the NZE, future gas demand is met with all existing LNG terminals. No new LNG terminal plans are necessary to meet demand. With its current plans, none of BP's LNG expansion plans are aligned with the NZE.<sup>24</sup>

- BP's gas-oriented strategy includes new midstream infrastructure that will be commissioned in the coming years. Indeed, BP owns existing LNG export terminals, and is constructing new LNG export terminals.
- BP is already a shareholder of existing export terminals such as Tangguh in Indonesia, Atlantic LNG in Trinidad and Tobago and Das Island in the United Arab Emirates. Moreover, the first phase of the Greater Tortue Ahmeyim terminal project was completed by BP in 2025, on the maritime border of Mauritania and Senegal. BP's export

terminals' net liquefaction capacity reaches 16.0 Mtpa.<sup>25</sup>

BP is already constructing additional liquefaction capacities with Al Ruwais LNG in the United Arab Emirates, that will be operational in 2028. This would add net liquefaction capacities of 1.0 Mtpa to its portfolio.<sup>26</sup>

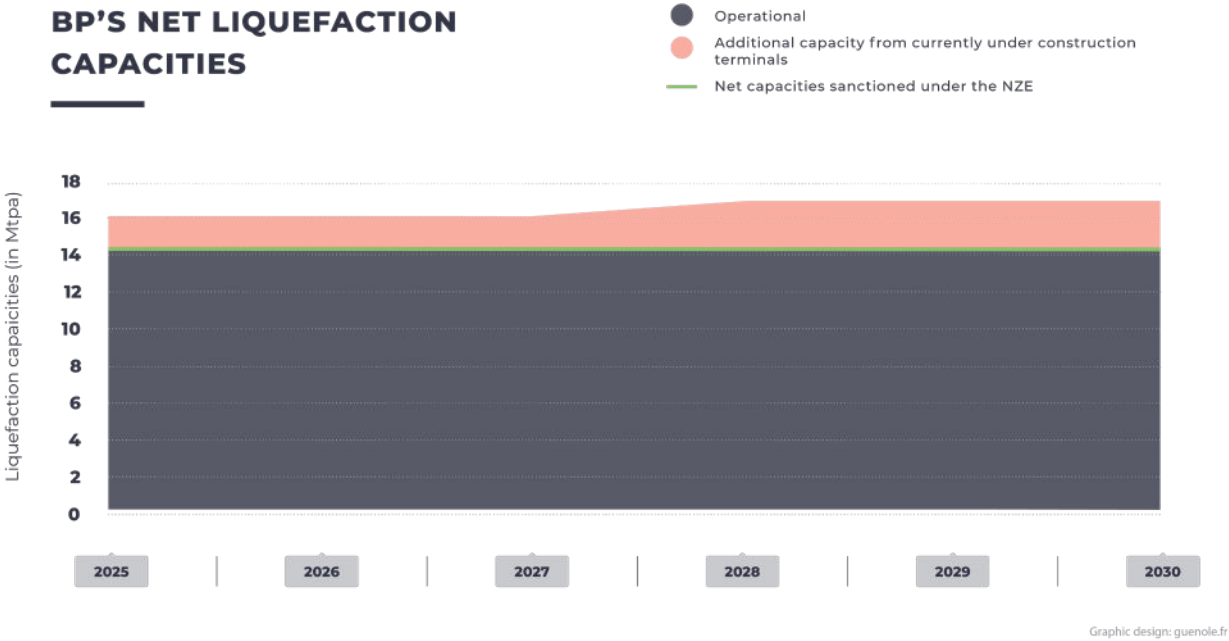
With its current LNG plans, BP's 2030 total net liquefaction capacity will exceed the NZE by 16.2%.

Furthermore, BP owns existing LNG import terminals, and is constructing new LNG import terminals.

- BP's import terminals' net regasification capacity reaches 13.5 Mtpa.<sup>27</sup>
- BP is constructing new regasification capacities with Ganyu LNG and Guangdong Dapeng LNG Terminal in China that will be operational in 2025 and 2026 respectively. This will add net liquefaction capacities of 0.8 Mtpa to its portfolio.<sup>28</sup>

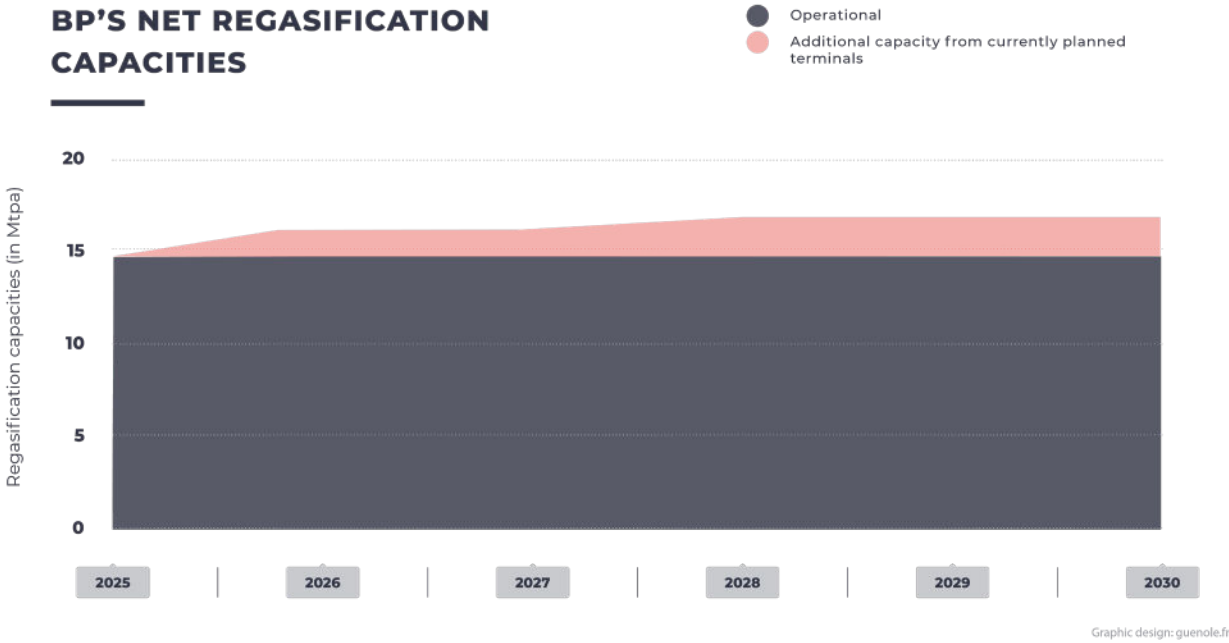


BP'S NET LIQUEFACTION CAPACITIES



Source: Enerdata LNG database accessed in January 2024 for operational terminals and Global Oil and Gas Exit List 2024 for under construction and planned by 2030 terminal projects

BP'S NET REGASIFICATION CAPACITIES



Source: Enerdata LNG database accessed in January 2024 for operational terminals and Global Oil and Gas Exit List 2024 for under construction and planned by 2030 terminal projects



# 04

## ***DIVERSIFICATION STRATEGY***



## A. UNSUSTAINABLE DIVERSIFICATION

### Gas power

As gas combustion is one of the main contributors to carbon dioxide and methane emissions, under no circumstances should gas power be considered as a solution for the transition, it should be urgently replaced by sustainable solutions. By 2035, advanced economies should achieve a carbon neutral power sector, according to the NZE, and by 2045 in the rest of the world.<sup>29</sup> BP currently has 1.8 GW of gas plants in operation. Despite the company having no targets on gas power capacities, it has neither committed to stop developing gas plants nor committed to closing its gas plants. In fact, **BP has 1.6 GW of gas plants under development or proposed, representing an increase of 84% compared with the current operational gas power capacities of the company.**<sup>30</sup> Among BP's four gas power projects, three would be operational before the end of the decade including one in advanced countries, in Teesside in the United Kingdom.

### Other unsustainable solutions

The NZE projects strong growth in bioenergy production, with biofuel supply multiplied by 12 and with bio-methane and biogas multiplied by 6 by 2030. The NZE also projects strong growth in hydrogen production, from 97 megatonnes (Mt) in 2023 to more than 200 Mt by 2035, led by "low-carbon hydrogen" capacity addition. Of this, one-third is produced from fossil fuels – therefore unsustainable – and two-thirds from water-based electrolysis.<sup>31</sup> To meet the NZE scenario's production targets, electrolytic hydrogen production capacity should reach 720 GW to 850 GW by 2030.<sup>32</sup> BP took off its 2030 biofuels and biogas targets as well as its hydrogen target. While they do not have targets anymore, the major specified that they will focus their transition investments in biogas and biofuels – as well as EV charging – rather than in renewables, hydrogen and CCS.<sup>33</sup>

## B. SUSTAINABLE ENERGY

The NZE projects strong growth in renewable energy production, that will be multiplied by 2.4 between 2023 and 2030, led by solar and wind capacity additions.

BP previously aimed to develop its renewable energy resources, with

50 GW developed to FID and 10 GW installed capacities by 2030. BP abandoned these targets and only kept its 20 GW developed to FID by 2025 target. The development of renewable energy has significantly dropped in the new strategy with a focus on capital light partnerships rather than organic development of new renewable infrastructures.



05

***EMISSIONS  
TARGETS***

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In February 2025, BP reviewed its pledged mitigation targets for 2025, 2030 and 2050. **The major abandoned all its scope 3 production emission targets, while scope 3 emissions are by far the largest, representing 91% of the company's 2024 emissions.** BP also reduced its scope 1 and 2 2030 targets, previously planning a 50% reduction, the company now plans a reduction comprised between 45% and 50%. **The average lifecycle carbon intensity target was also strongly reduced, from -15%/-20% previously planned to -8%/-10% planned now.**

***FIND OUT MORE:***

- [Methodology](#)
- [Glossary](#)
- Factsheets on [bioenergy](#), [hydropower](#), [hydrogen](#), [CCUS in power](#), [energy storage](#)



***BP's pledged mitigation targets***

| Base year | Target year | Reduction target | Net target | Geographical scope | Emission scope | Emission type |
|-----------|-------------|------------------|------------|--------------------|----------------|---------------|
| 2019      | 2025        | -20%             | No         | World              | 1 & 2 & 3      | Absolute      |
| 2019      | 2025        | -5%              | No         | World              | 1 & 2 & 3      | Intensity     |
| 2019      | 2030        | 45%/-50%         | No         | World              | 1 & 2          | Absolute      |
| 2019      | 2030        | -8%/-10%         | No         | World              | 1 & 2 & 3      | Intensity     |

Source: BP, BP, [bp Annual Report and Form 20-F 2024](#), page 40, 2025

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Reclaim Finance is an NGO affiliated with Friends of the Earth France. It was founded in 2020 and is 100% dedicated to issues linking finance with social and climate justice. In the context of the climate emergency and biodiversity losses, one of Reclaim Finance's priorities is to accelerate the decarbonization of financial flows. Reclaim Finance exposes the climate impacts of financial players, denounces the most harmful practices and puts its expertise at the service of public authorities and financial stakeholders who desire to bend existing practices to ecological imperatives.

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